Disadvantages of Air Transport

a) It is a very costly mode of transport. The rates and fares charged by which are beyond the reach of common people.

b) Air craft are not quite suitable for carrying heavy loads and weights.

c) It is not dependable because of unfavourable weather which may disturb the air service suddenly.

d) The construction and maintenance of aerodromes involve a huge capital expenditure.

e) Every country controls the air space above its territory. Therefore, an aeroplane cannot fly over another country without obtaining its prior permission to concern authority.

Services of Transport to Business

The growth and development in the means of transport over the past two hundred years have produced significant economic effects and has revealed how important are the services of transport. It creates place and time utility.

a) It increases the efficiency of production

The object of production is consumption. Effective transport system creates time and place utilities and thereby influences the demand for goods and the value of goods. Thus, transport makes production efficient and purposeful.

b) It stimulates wants by increasing quantity and variety of consumer goods

It helps in getting commodities, which cannot be had or produced in a region due to unsuitable natural conditions. Without adequate and effective transport, goods cannot be had either in the quantities or varieties required in a complex economy.

c) It develops and expands the market

The primary function of transport is to enable the physical distribution of goods at global level. The distribution of goods must take place easily, economically and speedily. It provides the chance of expanding national land international market.

d) It helps in price stability by distributing goods all over the country

e) It aids to economic growth

The movement of raw materials, fuel, labour and finished products and the mobility of capital and technical know-how, transport playing a remarkable role in the growth of all industries from agriculture to manufacturing.

f) It helps in specialization and mass production

Specialization means the division of complex process of production into a number of separate processes so that each person or group specializes in each and every process. It has been extended to international level too.

g) It encourages innovations in product production and designing

It provides plenty of opportunities to the producers to produce their product in innovative and creative way, to catch up the wider market and reap more profit.

commerce 1-15.indd 135 10/12/2022 16:31:32